



Shares and dividends

When a company goes public, it sells shares to investors, who become part-owners in return for capital investment. The number and type of shares bought by each investor determines the size of their ownership.

How it works

Before floating on a stock exchange, a company undergoes a valuation process to set the initial price of its shares. This process involves the directors, prospective investors, and an investment bank, which is appointed to assess the company's value. Together, they reach a decision on the most financially viable price for the shares that will

be offered on the exchange. Upon going public, a company issues ordinary shares to investors as the basic unit of ownership, commonly referred to as a stake in the business. A company may also issue shares privately, rather than publicly to investors via the stock exchange, to retain greater management control.

Company shares

A share of the pie

Ordinary shares, issued by all companies when they go public, are the most common type of shares. There are also other share types, which give the company more flexibility to control rights available to different shareholder groups. Most shares are sold on the stock exchange, but non-voting and management shares are issued directly to holders. Different types of shares entitle the holder to different rights.

Management shares

Issued (usually given not sold) to owners and members of company management, who have:

- ✓ Extra voting rights, so control of company stays in the same hands

Non-voting shares

Issued to employees, who:

- ✓ Receive a part of remuneration in the form of dividends
- ✗ Have no voting rights
- ✗ Receive no invitation to attend annual meeting

